



Defeating Churn: A Strategic Retention Roadmap

Moving from reactive defense to proactive, data-driven revenue preservation.

Telecommunications

Exploratory Data Analysis

Executive Briefing

The State of the Base

Total Customers

7,043

Overall Churn Rate

26.54%

Average Tenure

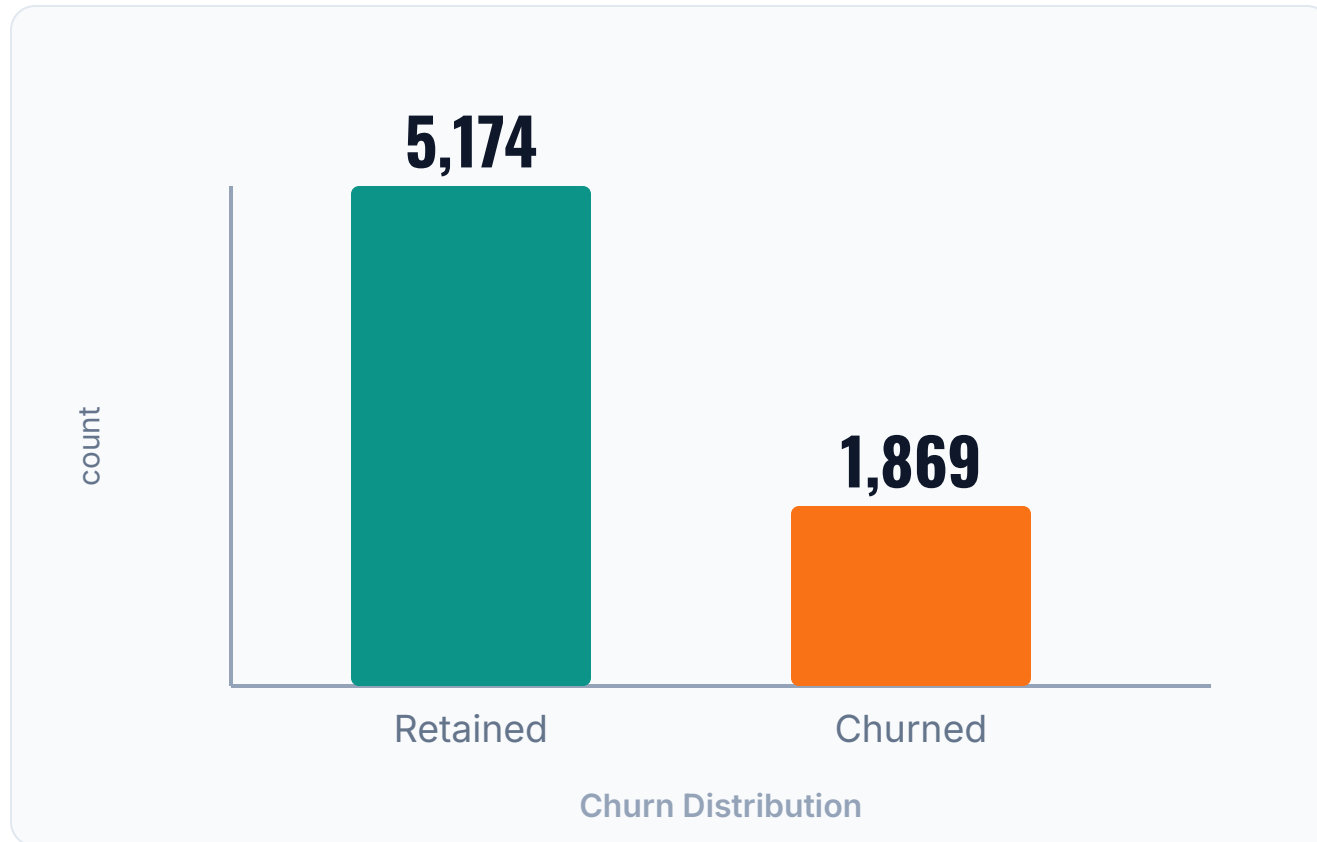
32.4 months

Avg Monthly Charge

\$64.76

Strategic Insight: One in four customers is actively leaving the ecosystem. To preserve market share, we must systematically **eliminate operational friction** across contract conversion and onboarding.

1,869 Customers Lost: A Systemic Leak



While a **73.46% retention** rate provides a **stable operational foundation**, the **absolute volume** of nearly 1,900 churned accounts represents massive, unforced revenue **attrition**.

This is a **behavioral exit pattern**, not just statistical noise.

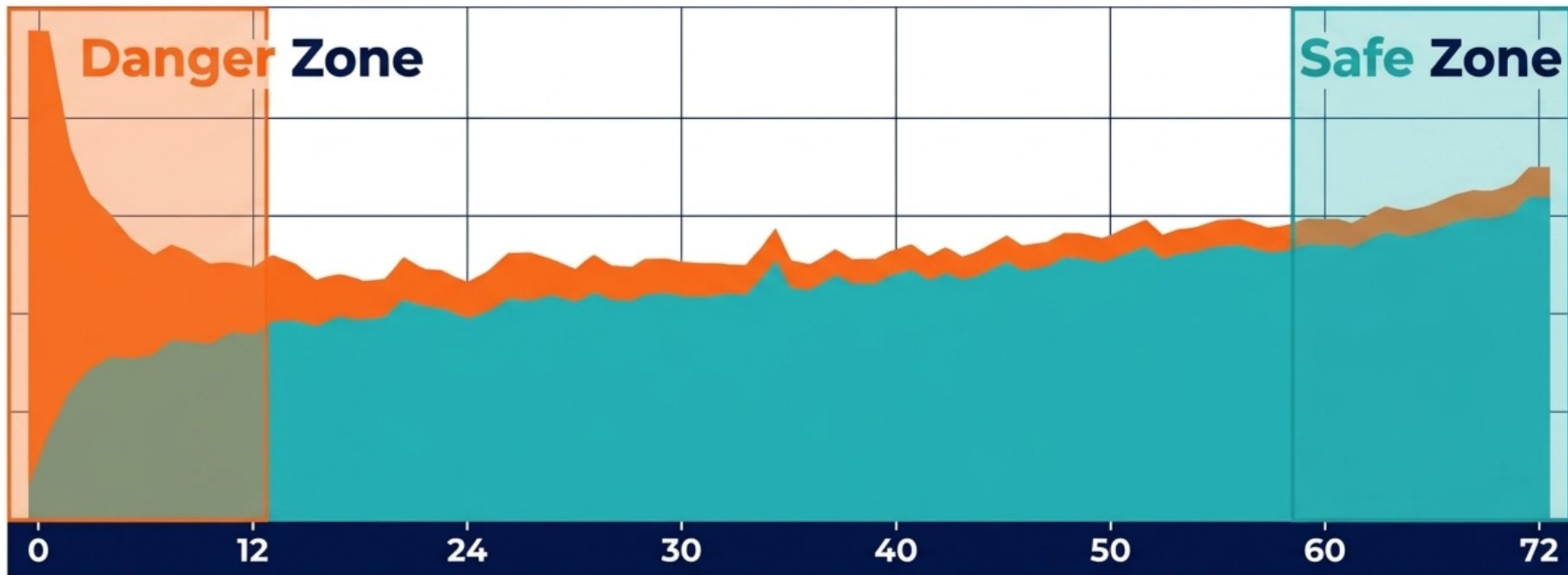
Executive Summary: The current churn volume indicates a critical leakage in the customer lifecycle that requires **immediate strategic intervention** to stabilize annualized revenue.

The Cost of Inaction: ~\$1.66M Annualized Revenue at Risk

Reduction Target	Customers Retained	Monthly MRR Preserved	Annualized Revenue
5% Reduction	93	\$6,957	\$83,479
10% Reduction	187	\$13,913	\$166,957
15% Reduction	280	\$20,870	\$250,436

Takeaway: The \$1.66M total risk is a conservative baseline derived strictly from observed monthly charges of lost accounts. Every marginal reduction in churn directly **preserves** compounding future billing.

The Critical First Year: Surviving the Lifecycle Danger Zone



Data Insight: Churn is aggressively front-loaded. The vast majority of account closures happen in the earliest stages of the relationship.

Strategic Takeaway: Pushing a customer past the 12-month mark causes their probability of long-term retention to skyrocket. Onboarding is our most critical battleground.

Contract Duration: The Ultimate Retention Lever

Month-to-Month

42.7%

CHURN RATE

One-Year Contract

11.3%

CHURN RATE

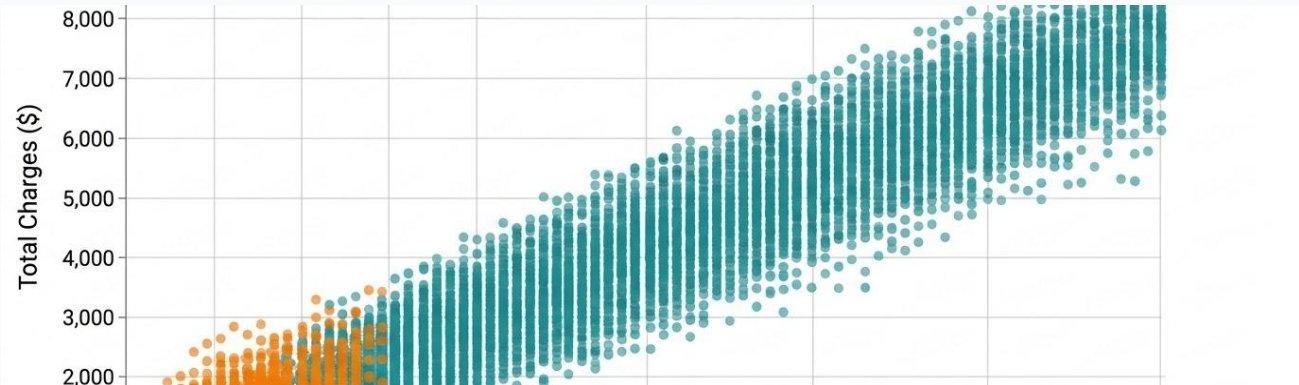
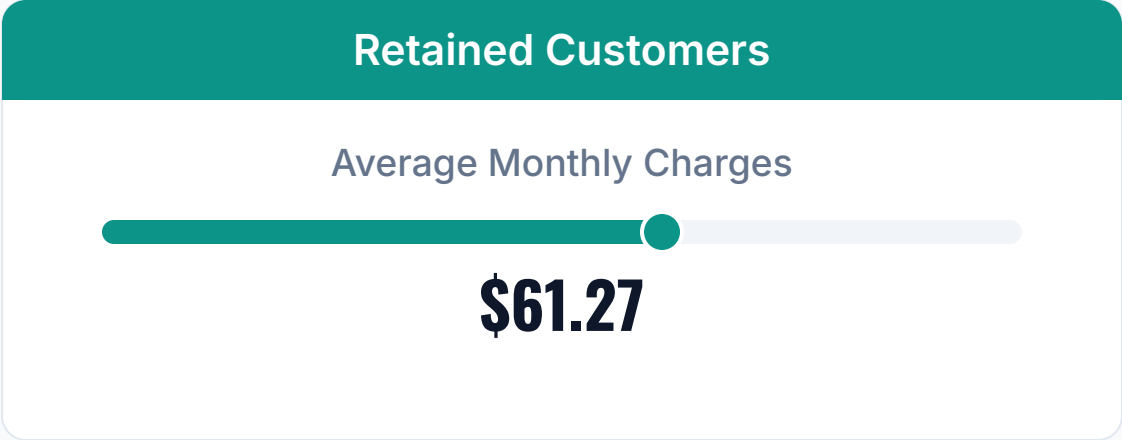
Two-Year Contract

2.8%

CHURN RATE

Synthesis: Month-to-month flexibility is actively working against our ecosystem. Unlocked doors lead to early exits. Securing annual and multi-year commitments is an **operational imperative** to maximize customer lifetime value.

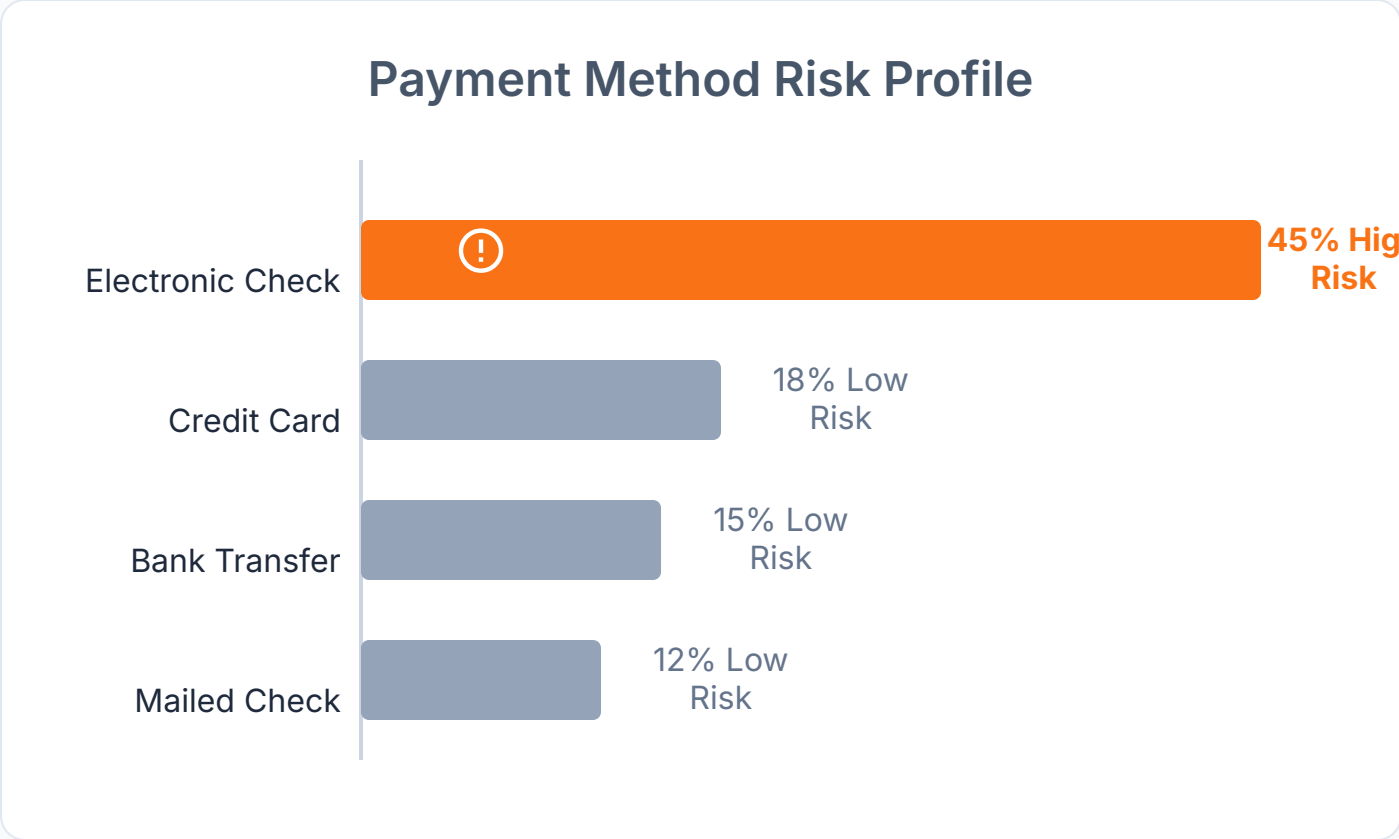
The Pricing Paradox: High Fees Trigger Exits; Longevity Drives LTV



- Insight 1:** Price sensitivity breaks weak loyalty. Churned customers pay significantly higher average monthly charges (\$74.44 vs \$61.27).
- Insight 2:** Retained customers generate vastly higher Total Charges (correlation of 0.83 with tenure) simply by staying.

Strategic Rule: Discounting monthly fees to secure a 12-month retention contract is **mathematically superior** to replacing a churned user paying full price.

Billing Friction: The Monthly Evaluation Trigger



Insight:

Electronic Check stands out as the **highest-risk** payment methodology in the dataset.

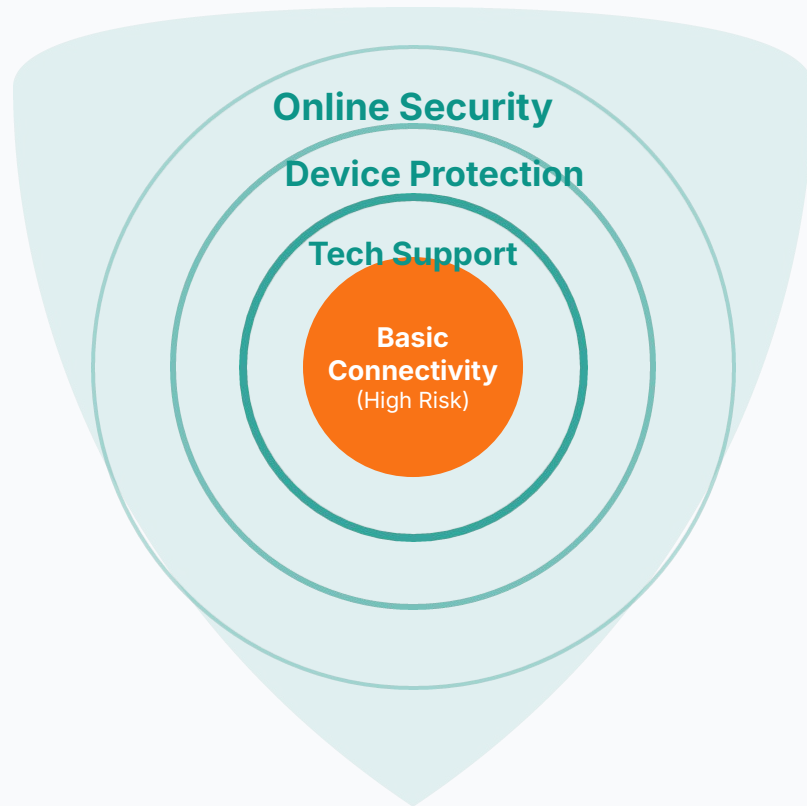
Behavioral Synthesis:

Manual, high-friction payment methods act as a **psychological trigger**—forcing the customer to actively evaluate the cost of the service every 30 days.

Auto-pay removes this mental friction, invisibly maintaining the subscription through inertia.

Strategic Mandate: Migrating high-risk cohorts to automated payment rails is an **operational priority** to mitigate monthly churn triggers.

The Support Shield: Unbundled Customers are Exposed



Data Fact:

Customers lacking Online Security, Online Backup, Device Protection, and Tech Support **churn at drastically higher frequencies**.

Executive Synthesis:

Value-added services do more than generate marginal revenue; they act as a **defensive shield**.

Bundled features increase **ecosystem stickiness**, making a switch to a competitor **exponentially more painful** and complex for the user.

Strategic Priority: Incentivizing "Full-Shield" bundles is the most effective path to **maximizing Customer Lifetime Value (LTV)** and minimizing churn.

Demographic Signals: Who is Leaving?

Gender (The Noise)



Male and female customer behaviors are virtually identical.
Gender is a non-factor in churn modeling.

Senior Citizens (The Signal)



While a smaller overall segment, senior citizens are highly
prone to churn.

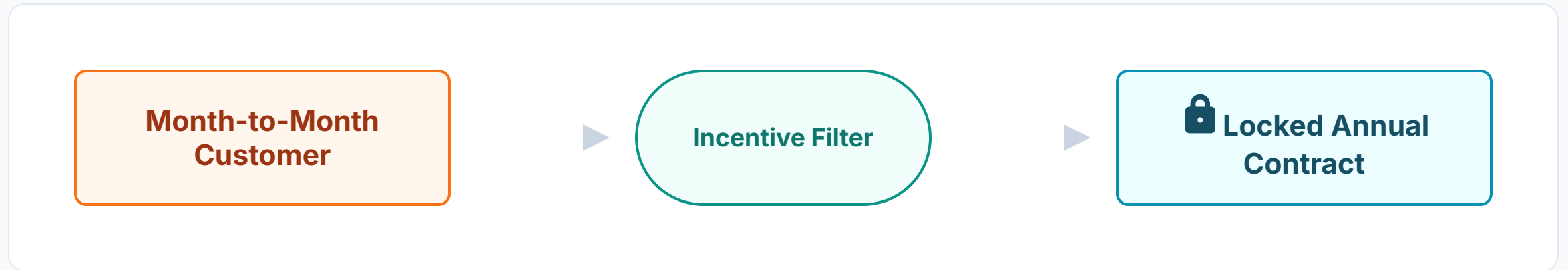
Actionable Takeaway:

High senior churn indicates technical friction. This segment requires simplified customer support routing and clearer, more accessible value communication.

Segmenting the Base: The Persona Matrix

	The High Flight Risk	The Loyal Anchor
Contract	Month-to-month flexibility	Two-year commitment
Tenure	Low tenure (0-12 months)	Long tenure (60+ months)
Technology	Fiber optic (high performance expectations)	Mixed technologies
Payment Method	Electronic Check (manual friction)	Auto-pay enabled
Support Services	Barebones connectivity (no support services)	Bundled support ecosystem

Strategic Play 1: Incentivize Commitment



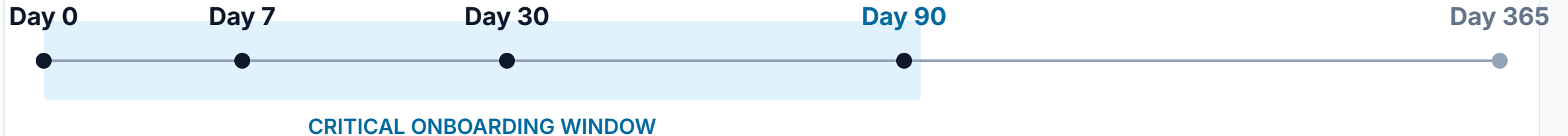
The Mandate:

Launch targeted conversion campaigns specifically aimed at the high-risk Month-to-Month base.

The Tactic:

Trade short-term margin for long-term LTV. Offer strategic, temporary monthly discounts or free tier upgrades for the first 12 months in exchange for legally locking into an annual agreement.

Strategic Play 2: Secure the Onboarding Window



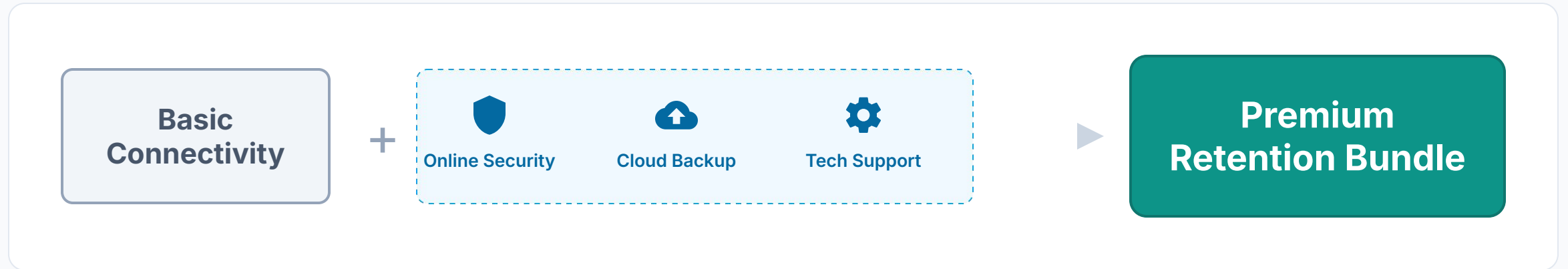
The Mandate:

Strengthen customer success and proactive outreach during the profoundly fragile first year of tenure.

The Tactic:

Implement a robust 90-day onboarding sequence. Prioritize early technical check-ins (especially for premium Fiber Optic customers who exhibit surprisingly high risk) to ensure rapid product adoption and eliminate early frustration.

Strategic Play 3: Bundle to Retain



The Mandate:

Pivot marketing and upselling focus from raw connectivity speeds to comprehensive "peace of mind" ecosystems.

The Tactic:

Combine Online Security, Cloud Backup, and Tech Support into integrated retention packages.

Price the aggregate bundle at a slight discount to drive massive adoption, thereby locking the user into a deeply sticky technical environment.

The Path Forward: Preserving Revenue



Summary Statement:

Churn is an addressable operational friction problem, heavily concentrated in early-tenure, unbundled, month-to-month accounts.

The Target:

Executing our three strategic plays to achieve just a 5% reduction in churn will immediately preserve **94** at-risk customer relationships and secure over **\$83,479** in annualized revenue from this cohort alone.

Closing Call:

We must transition from **replacing lost users** to **fiercely protecting the base**.